PROJECT FINANCIALS

for

HOUSING DEVELOPMENT

Umuahia

LAND SIZE **10**

COMPANY

City Prize Nig. Ltd

INPUT SHEET

COY NAME	City Prize Nig. Ltd
LOCATION	Umuahia
LAND SIZE	10
BASE COST	229,858.69
REGION	SE

S/N	HOUSE TYPE	AREA	QTY	RATE/SqM
a.	2-BR BLOCK OF FLAT	110		264,337.49
b.	3-BR BLOCK OF FLAT	150	116	264,337.49
c.	3-BR BUNGALOW	190		264,337.49
d.	4-BR BUNGALOW	250		264,337.49
e.	4-BR DET. DUPLEX	370	11	264,337.49

FINANCIAL STATEMENTS

		Year 1	Year 2	Year 3
Balance Sheet Check		*OK*	*OK*	*OK*

Assumptions

Income statement				
Depreciation & Amortization (% of PP&E Open E		0.0%	0.0%	0.0%
Interest (% of Debt Open Bal)		25.0%	25.0%	25.0%
Tax Rate (% of Earnings Before Tax)		30.0%	30.0%	30.0%
Start up Financing Required				
Capital Expenses	100%	8,876,495,498		
Preliminary Expenses		30,876,630		
Inventory (Months)	1	152,299,816		
OPEX (Months)	1	10,663,862		
		9,070,335,806		
Source of Funds				
Off Plan Sale	55%	4,961,473,686		
Equity/Grant	20%	1,841,278,169		
Loan	25%	2,267,583,952		
Term (Month)		24		
Interest (Assumed)		25%		
Start Month		1		
Moratarium (Months)		3		

FINANCIAL STATEMENTS	Year 1	Year 2	Year 3
Balance Sheet Check	*OK*	*OK*	*OK*
Income Statement			
Revenue			
Sales Target	50%	30%	20%
Sale of Houses	6,403,491,734	3,842,095,040	2,561,396,693
Gross Revenue	6,403,491,734	3,842,095,040	2,561,396,693
Discounts	-	-	-
Net Revenue	**6,403,491,734**	**3,842,095,040**	**2,561,396,693**
Cost of Goods Sold (COGS)			
Raw Materials	3,655,195,591	2,520,130,394	-
Fulfilment	-	-	-
Transaction Fees	-	-	-
Total COGS	3,655,195,591	2,520,130,394	-
Gross Profit	**2,748,296,142**	**1,321,964,646**	**2,561,396,693**
Gross Profit Margin (%)	*42.92%*	*34.41%*	*100.00%*
Expenses			
Design Consultancy	109,655,868	75,603,912	-
Preliminaries	30,876,630		
Marketing & Adverts	64,034,917	38,420,950	25,613,967
Project Management	73,103,912	50,402,608	-
Insurance	9,137,989	6,300,326	-
Total Expenses	**286,809,316**	**170,727,796**	**25,613,967**
EBITDA	**2,461,486,827**	**1,151,236,850**	**2,535,782,727**
Depreciation & Amortization	-	-	-
EBIT	2,461,486,827	1,151,236,850	2,535,782,727
Interest	479,254,534	170,845,366	-
EBT	**1,982,232,293**	**980,391,484**	**2,535,782,727**
Taxes	738,446,048	345,371,055	760,734,818
Net Earnings	**1,243,786,245**	**635,020,429**	**1,775,047,909**

FINANCIAL STATEMENTS	Year 1	Year 2	Year 3
Balance Sheet Check	*OK*	*OK*	*OK*

FINANCIAL STATEMENTS	Year 1	Year 2	Year 3
Balance Sheet Check	*OK*	*OK*	*OK*

Balance Sheet			
Assets			
Cash	4,151,801,993	3,717,901,310	5,389,663,214
Accounts Receivable	533,624,311	320,174,587	213,449,724
Inventory	304,599,633	210,010,866	-
Property & Equipment	-	-	-
Total Assets	**4,685,426,304**	**4,038,075,896**	**5,603,112,939**
Liabilities			
Accounts Payable	304,599,633	210,010,866	-
Debt	1,295,762,258	107,980,188	107,980,188
Total Liabilities	**1,600,361,891**	**317,991,054**	**107,980,188**
Shareholder's Equity			
Equity Capital	1,841,278,169	1,841,278,169	1,841,278,169
Retained Earnings	1,243,786,245	1,878,806,674	3,653,854,582
Shareholder's Equity	**3,085,064,413**	**3,720,084,842**	**5,495,132,751**
Total Liabilities & Shareholder's Equity	**4,685,426,304**	**4,038,075,896**	**5,603,112,939**
Check	-	-	-

FINANCIAL STATEMENTS

	Year 1	Year 2	Year 3
Balance Sheet Check	*OK*	*OK*	*OK*

Cash Flow Statement

Receipts			
Revenue	5,869,867,422	4,055,544,765	2,668,121,556
Equity Contribution	1,841,278,169		
Loan	2,267,583,952		-
Total Receipts	**9,978,729,543**	**4,055,544,765**	**2,668,121,556**
Payments			
Suppliers	3,350,595,959	2,614,719,161	210,010,866
Overheads	286,809,316	170,727,796	25,613,967
Cost of BG/SBLC	-	-	-
Brokerage Fees	-	-	-
Success Fees	-	-	-
Loan Repayment	1,451,076,227	1,358,627,436	-
Tax	738,446,048	345,371,055	760,734,818
Fixed Assets	-	-	-
Total Expenses	**5,826,927,550**	**4,489,445,448**	**996,359,651**
Net Increase (decrease) in Cash	4,151,801,993	(433,900,683)	1,671,761,905
Opening Cash Balance	-	4,151,801,993	3,717,901,310
Closing Cash Balance	**4,151,801,993**	**3,717,901,310**	**5,389,663,214**
Check	-	-	-

FINANCIAL STATEMENTS	Year 1	Year 2	Year 3
Balance Sheet Check	*OK*	*OK*	*OK*

Supporting Schedules

Working Capital Schedule			
Accounts Receivable	533,624,311	320,174,587	213,449,724
Inventory	304,599,633	210,010,866	-
Accounts Payable	304,599,633	210,010,866	-
Net Working Capital (NWC)	533,624,311	320,174,587	213,449,724
Change in NWC	533,624,311	(213,449,724)	(106,724,862)
Depreciation Schedule			
PPE Opening	-	-	-
Plus Capex	-	-	-
Less Depreciation	-	-	-
PPE Closing	-	-	-
Debt & Interest Schedule			
Debt Opening	2,267,583,952	1,295,762,258	107,980,188
Interest Expense	479,254,534	170,845,366	-
Issuance (repayment)	1,451,076,227	1,358,627,436	-
Debt Closing	1,295,762,258	107,980,188	107,980,188
Receivables			
Opening Balance	-	533,624,311	320,174,587
Sales	6,403,491,734	3,842,095,040	2,561,396,693
Receipts	5,869,867,422	4,055,544,765	2,668,121,556
Closing Balance	533,624,311	320,174,587	213,449,724
Payables			

FINANCIAL STATEMENTS	Year 1	Year 2	Year 3
Balance Sheet Check	*OK*	*OK*	*OK*
Opening Balance		304,599,633	210,010,866
Suppliers	3,655,195,591	2,520,130,394	-
Payments	3,350,595,959	2,614,719,161	210,010,866
Closing Balance	304,599,633	210,010,866	-

PROJECT DEVELOPMENT COSTS

S/N	DESCRIPTION		QTY	RATE	AMOUNT
1	**LAND COSTS**				
a.	Land Cost (SqM)		100,000	2,500	250,000,000
b.	Survey Cost				
	Total Land Costs				***250,000,000***
2	**CONSTRUCTION WORKS**				
	House Type	**SqM**	**Units**	**Rate/SqM**	**Amount**
a.	2-BR BLOCK OF FLAT	110	0	264,337.49	-
b.	3-BR BLOCK OF FLAT	150	116	264,337.49	4,599,472,387
c.	3-BR BUNGALOW	190	0	264,337.49	-
d.	4-BR BUNGALOW	250	0	264,337.49	-
e.	4-BR DET. DUPLEX	370	11	264,337.49	1,075,853,599
	Total Construction Works				***5,675,325,985***
3	**INFRASTRUCTURE DEVELOPMENT**				
a	Standard Infrastructure	25.0%			1,418,831,496
4	**PROFESSIONAL FEES + ON COSTS**				
a	Design and Cost Consultants	10.0%			567,532,599
b	Solicitors Fees (Legal Agreements)+VAT	1.5%			85,129,890
c	Business Development +VAT	5.0%			283,766,299
d	Contractors All Risk Insurance	0.5%			28,376,630
	Total Prof Fees/On Costs				***964,805,418***

5	**DEVELOPMENT ADMINISTRATION**				
a	Project Mgt Costs + VAT	5.0%			283,766,299
b	Operating Expenses	2.5%			141,883,150
c	Development Fee	0.5%			28,376,630
	Total Dev Admin Costs				***454,026,079***
6	**PROJECT CONTIGENCY**				
	Project Contigency	2%			113,506,520
	Total Project Cost				**8,876,495,498**
7	**SOURCE OF FUNDS**				
	Pre Sale	15.00%			1,331,474,325
	Developer	25.00%			2,219,123,874
	Debt	25.00%			2,219,123,874
	Sales	35.00%			3,106,773,424
					8,876,495,498

Table 2 - Loan Amortization Schedule

MONTH	PRINCIPAL	DAYS	INTEREST	INSTALMENT	PAYMENT	BALANCE
1	2,267,583,952	30	46,594,191	-	46,594,191	2,267,583,952
2	2,267,583,952	30	46,594,191	-	46,594,191	2,267,583,952
3	2,267,583,952	30	46,594,191	-	46,594,191	2,267,583,952
4	2,267,583,952	30	46,594,191	107,980,188	154,574,379	2,159,603,763
5	2,159,603,763	30	44,375,420	107,980,188	152,355,608	2,051,623,575
6	2,051,623,575	30	42,156,649	107,980,188	150,136,837	1,943,643,387
7	1,943,643,387	30	39,937,878	107,980,188	147,918,066	1,835,663,199
8	1,835,663,199	30	37,719,107	107,980,188	145,699,295	1,727,683,011
9	1,727,683,011	30	35,500,336	107,980,188	143,480,524	1,619,702,823
10	1,619,702,823	30	33,281,565	107,980,188	141,261,753	1,511,722,634
11	1,511,722,634	30	31,062,794	107,980,188	139,042,982	1,403,742,446
12	1,403,742,446	30	28,844,023	107,980,188	136,824,211	1,295,762,258
13	1,295,762,258	30	26,625,252	107,980,188	134,605,440	1,187,782,070
14	1,187,782,070	30	24,406,481	107,980,188	132,386,669	1,079,801,882
15	1,079,801,882	30	22,187,710	107,980,188	130,167,898	971,821,694
16	971,821,694	30	19,968,939	107,980,188	127,949,127	863,841,505
17	863,841,505	30	17,750,168	107,980,188	125,730,356	755,861,317
18	755,861,317	30	15,531,397	107,980,188	123,511,585	647,881,129
19	647,881,129	30	13,312,626	107,980,188	121,292,814	539,900,941
20	539,900,941	30	11,093,855	107,980,188	119,074,043	431,920,753
21	431,920,753	30	8,875,084	107,980,188	116,855,272	323,940,565
22	323,940,565	30	6,656,313	107,980,188	114,636,501	215,960,376
23	215,960,376	30	4,437,542	107,980,188	112,417,730	107,980,188
24	107,980,188	-	-	-	-	107,980,188

2	SALE PROJECTION			2.25
S/N	DESCRIPTION	QTY	SELLING PRICE/SqM	TOTAL
a.	2-BR BLOCK OF FLAT	0	594,759	-
b	3-BR BLOCK OF FLAT	116	594,759	10,348,812,871
c	3-BR BUNGALOW	0	594,759	-
d	4-BR BUNGALOW	0	594,759	-
e	4-BR DET. DUPLEX	11	594,759	2,420,670,597
F	Commercial Plots (SqM)	7500	5,000	37,500,000
	Total Sale	***127***		***12,806,983,467***

COST RECOVERY & PROFIT SHARE

S/N	NARRATION	SHARE (%)	APPROPRIATION			
			YEAR 1	YEAR 2	YEAR 3	TOTAL
A	**PROFIT APPROPRIATION**					
1	FHA	40%	497,514,497.92	254,008,171.49	710,019,163.42	**1,461,541,832.84**
2	INVESTOR	60%	746,271,746.88	381,012,257.23	1,065,028,745.14	**2,192,312,749.25**
	ROI					**44.28%**
	Equity IRR					**27.60%**
B	**COST RECOVERY**					
1	FHA					**433,029,263.03**
2	INVESTOR					**8,443,466,234.85**

FUNDS SOURCE AND USE TABLE

Category	Amount (₦)	Description
Uses of Funds		
1. Land Costs	₦250,000,000	Land purchase and survey cost.
2. Construction Works	₦5,675,325,985	Construction of houses
3. Infrastructure Development	₦1,418,831,496	Infrastructure for the project (25% of total cost).
4. Professional Fees & On-Costs	₦964,805,418	Design, legal fees, insurance, and VAT costs.
5. Development Administration	₦454,026,079	Project management, operating expenses, and development fees.
6. Project Contingency	₦113,506,520	Provision for unforeseen expenses (2% of total cost).
Total Uses of Funds	**₦8,876,495,498**	
Sources of Funds		
1. Pre-Sale (Off-Plan Sales)	₦1,331,474,325	(15%) of total funding from pre-sales.
2. Equity Contribution	₦2,219,123,874	(25%)20% equity provided by the developer.
3. Debt Financing (Loan)	₦2,219,123,874	(25%) of funding from loan financing.
4. Sales Revenue	₦3,106,773,424	(35%) of funding from property sales.
Total Sources of Funds	**₦8,876,495,498**	